SAARC factor

- SAARC has a special importance for India because it includes all of India's neighbors but China. Of late, China has been creating inroads into SAARC countries which is reducing India's influence in the bloc, for example Pakistan's CPEC, China's Hambantota port etc. and Maldives could be China's next destination.

Recent development in India-Maldives relations: India and Maldives relations have seen many ups and downs caused by changing political situations in both countries and some external factors. During Maldivian Presidential elections in 2013 Abdulla Yameen defeated Mohamed Nasheed to become the President. During Yameen's term, Maldives relations with India deteriorated while its closeness with China increased, which is highlighted by:

- Cancellation of GMR project, 2012: Maldives annulled the $500 million contract with GMR Group to develop a modern International Airport near Male, which was given to a Chinese company.
- Cancellation of Indian PM's trip, 2015:Due to turbulent political situation in Maldives, Indian PM cancelled his trip to Maldives.
- China Maldives FTA, 2017: China and Maldives signed an FTA, which is China's second FTA with a South Asian country after Pakistan, while there is no FTA between India and Maldives.
- Joint patrolling with Pakistan, 2018:During Pakistan's Army Chief's visit, Maldives announced joint patrolling with Pak Navy to guard Maldivian Exclusive Economic Zone, with an indirect reference to a perceived threat from India.

During all these negative developments in Maldives, India responded with patience and composure, trying to revive relations diplomatically. However, the election of Solih,in 2018, as the new President of Maldives has caused a thaw in India-Maldives relations which can be gauged by:

- Despite opposition from Indian Ocean Rim Association, India convinced IORA Committee for Senior Officials in favour of Male, following which Maldives was inducted as the newest member of IORA recently.
- Maldives has asked India for a Dornier aircraft and the MEA has responded positively to its request.
- Maldives' new government has decided to pull out of the free trade agreement (FTA) with China, realizing the one-sided nature of the FTA.

Concerns between India and Maldives

- **Chinese inroads:** Chinese infrastructure projects in Maldives directly compete with Indian infrastructure companies' business prospects.
- **China Maldives FTA:** An FTA with China would have raised the issue of diverting Chinese products into India through Maldives. Maldivian government has not cleared its stand on future Chinese investments yet and may continue to engage deeply with China.
- **Low bilateral trade:** Bilateral trade between both, which stands at US $200 million annually, is quite low.

India's relations with Maldives began to improve with the Presidential elections in 2018. Ibrahim Solih's electoral victory has opened a new chapter in the India – Maldives relations. Prime Minister Modi attended the Solih's swearing-in ceremony and affirmed

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